Dolph Research

EQUITY RESEARCH NOTE March 9, 2026

SM Energy Company

Revenue	Net Income
$3.15B	$648M
17.2%	-15.8%

Operating Margin	Current Ratio
31.7%	0.69x
-20.7%	26.0%

Executive Summary

SM — Current period: 2025-12-31 | Prior period: 2024-12-31

SM posted $3.15B in revenue (17.2% YoY) and $648M in net income (-15.8% YoY) for 2025-12-31. Revenue growth coupled with declining net income suggests margin pressure or rising operating costs that bear monitoring in subsequent periods. The profitability profile is defined by operating margin of 31.7% and net margin of 20.5%, framing the earnings quality behind the headline figures.
Current ratio stands at 0.69x in the locked annual basis, providing a baseline liquidity reference. The quick ratio of 0.69x confirms liquidity depth after excluding inventory from the coverage calculation.

Operating cash flow is $2.01B (12.8% YoY).

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$3.15B	$2.69B	17.2%
Net Income	$648M	$770M	-15.8%
Operating Margin	31.7%	40.0%	-20.7%
Current Ratio	0.69x	0.55x	26.0%

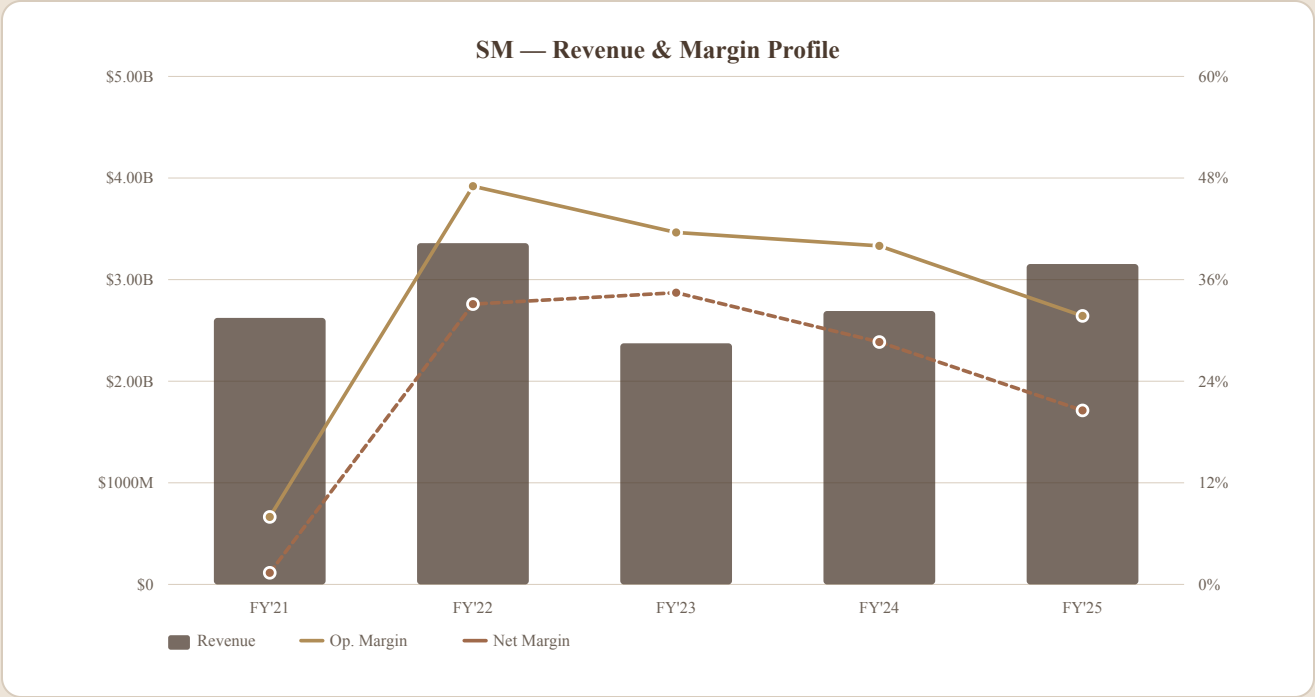
Revenue
$3.15B

Net Income
$648M

Operating Margin
31.7%

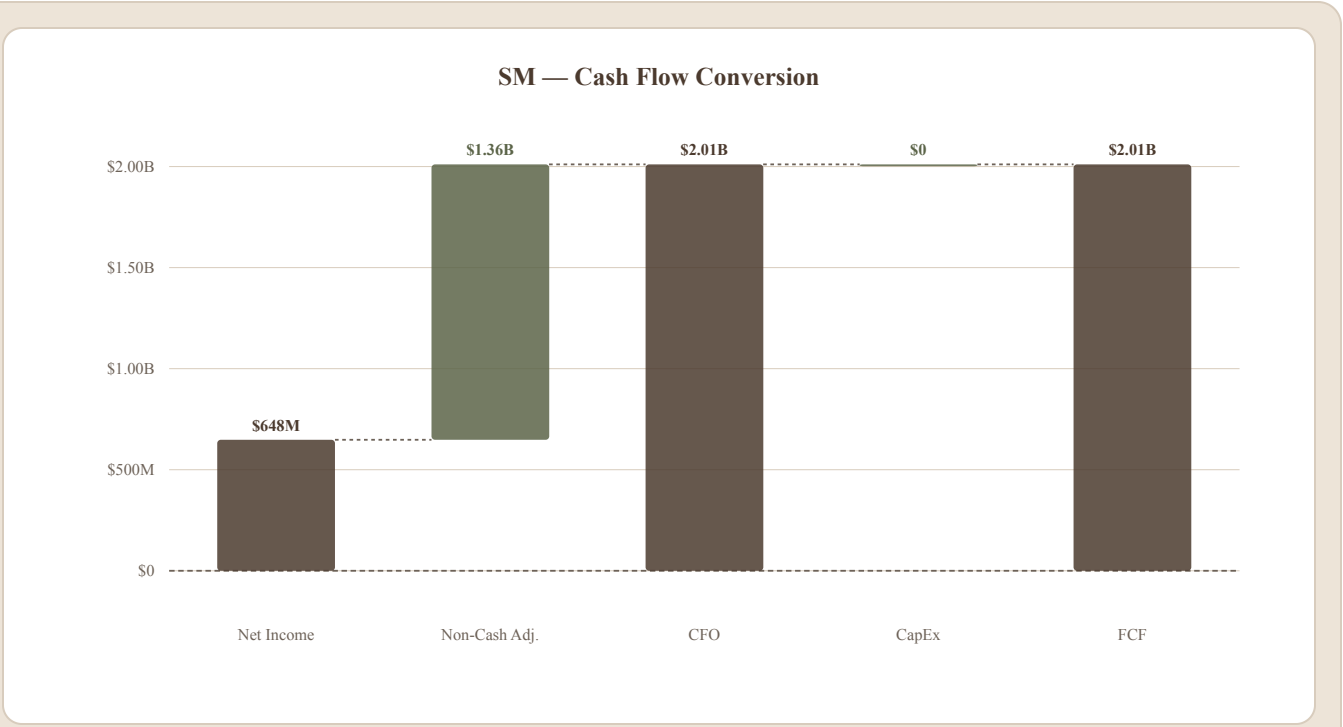
Visual Highlights

SM — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

SM — Current period: 2025-12-31 | Prior period: 2024-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	Not reported	Not reported	Not reported
Return on Equity	14.3%	18.2%	-21.2%
Return on Assets	7.3%	9.0%	-19.0%
Gross Margin	Not reported	Not reported	Not reported
Operating Margin	31.7%	40.0%	-20.7%
Net Margin	20.5%	28.6%	-28.2%
Earnings Per Share (Diluted)	$5.64	$6.67	-15.4%

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$811M	$435M	86.4%
Current Liabilities	$1.17B	$790M	48.0%
Cash & Equivalents	$368M	$0	N/A
Cash, Cash Equivalents & Restricted Cash	Not reported	Not reported	Not reported
Restricted Cash	Not reported	Not reported	Not reported
Cash, Cash Equivalents & Short-Term Investments	Not reported	Not reported	Not reported
Short-Term Investments	Not reported	Not reported	Not reported

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Marketable Securities	Not reported	Not reported	Not reported
Long-Term Debt	Not reported	Not reported	Not reported
Short-Term Debt	Not reported	Not reported	Not reported
Total Debt	Not reported	Not reported	Not reported
Current Ratio	0.69x	0.55x	26.0%
Debt-to-Equity	Not reported	Not reported	Not reported

Key Metrics Dashboard (Cont.)

SM — Current period: 2025-12-31 | Prior period: 2024-12-31

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$3.15B	$2.69B	17.2%
Gross Profit	Not reported	Not reported	Not reported
Operating Income	$1.00B	$1.08B	-7.1%
Net Income	$648M	$770M	-15.8%
Total Assets	$9.25B	$8.58B	7.9%
Total Liabilities	Not reported	Not reported	Not reported
Stockholders' Equity	$4.81B	$4.24B	13.5%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$2.01B	$1.78B	12.8%
Cash at End of Period (cash-flow statement)	Not reported	Not reported	Not reported
Capital Expenditures	Not reported	Not reported	Not reported
Free Cash Flow	Not reported	Not reported	Not reported

Commentary

SM — Current period: 2025-12-31 | Prior period: 2024-12-31

What stands out

- Operating Cash Flow stands at $2.01B (15.4% CAGR). Steady growth over the observed window points to durable demand or improving unit economics.
- Revenue stands at $3.15B (11.2% CAGR). Steady growth over the observed window points to durable demand or improving unit economics.
- Total Stockholders' Equity stands at $4.81B (7.6% CAGR). The upward drift is modest and may reflect inflation-linked pricing as much as organic expansion.

Watch items

- The following governed risk signals are active in the locked annual basis.
- **Low liquidity:** Current ratio is 0.69x, below 1.0x.

Analyst interpretation

- Revenue grew 17.2% year over year, outpacing a typical low-single-digit baseline.
- Current ratio is 0.69x, below 1.0x.
- Current conclusions are anchored to a period-locked annual basis (2025-12-31).

Appendix

SM — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix A — SM Income Statement

Metric	FY2025	FY2024
Revenue	$3.15B	$2.69B
Operating Expenses	$2.15B	$1.61B
Operating Income	$1.00B	$1.08B
Net Income	$648M	$770M
EPS (Basic)	$5.65	$6.71
EPS (Diluted)	$5.64	$6.67
Weighted Avg Shares (Diluted)	115.0M	116.0M
Pretax Income	$830M	$966M
Income Tax Expense	$182M	$196M

Appendix B — SM Balance Sheet

Metric	FY2025	FY2024
Shares Outstanding	114.6M	114.5M
Total Assets	$9.25B	$8.58B
Total Stockholders' Equity	$4.81B	$4.24B
Current Assets	$811M	$435M
Current Liabilities	$1.17B	$790M
Cash & Equivalents	$368M	$0
Accounts Receivable	$331M	$361M
Other Current Assets	$29M	$25M
Accounts Payable	$77M	$83M
Accrued Expenses	$167M	$200M
Other Current Liabilities	$58M	$22M
Retained Earnings	$3.29B	$2.73B
AOCI	$1.0M	-$1.0M

Appendix (Cont.)

SM — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix C — SM Cash Flow Statement

Metric	FY2025	FY2024
Operating Cash Flow	$2.01B	$1.78B
Investing Cash Flow	-$1.47B	-$3.41B
Financing Cash Flow	-$175M	$1.01B
Dividends Paid	-$92M	-$85M
Share Repurchases	-$13M	-$86M
Net Change in Cash	$368M	-$616M

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
SM	0000893538	0000893538-26-000032	10-K	2026-02-26	https://www.sec.gov/Archives/edgar/data/893538/000089353826000032/sm-20251231.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-09.

Disclaimer: For research use only; not investment advice.